

regulations, and forms. We've tried a lot and some of those efforts are succeeding. But AI could be a way to cut through the thicket to see where the overlaps are, where things can be simplified. Once you train an expert system to understand the law, it can be used to drastically simplify it too. I agree with those who say that there is still a lot of room to improve things. Adopting such a radical idea may take time, but I'm sure it'll happen one day.

Q: Is it time to have some sort of automatic expiry date for laws?

A: I think we should restrict sunset clauses to economic laws, but I think that would be a good idea because things change a lot. We all know how rapidly the world is evolving. Right now, there's so much uncertainty. Some of that is just short term. The point being, the economy is changing, people are changing. It isn't a bad idea to say that a law will expire unless there's a relook at a specified point. It's like an alarm clock. Of course, that's not a panacea.

Q: What needs to be done in terms of the agriculture sector?

A: What we do have to think of are overlaps. Take for example fertilisers. I remember 30, 40 years ago, we all thought that we needed more intensive use of fertilisers. But that approach has gotten to a point now where it is harmful. Then, we used to say that farmers must invest more. But if they are putting it in tube wells where the groundwater level is being depleted faster than it is being replenished, as it is in some parts of India, that's a big problem. **It's part of the wider point I made that things have changed, but we tend to get stuck in a policy that may have been very good 50 years ago, but not anymore. Water is getting polluted, land is getting polluted, groundwater is getting exhausted... We need to change the policy.** When there are major changes like that, you need to incentivise it, otherwise it won't happen. But unfortunately, these are political issues, not in the electoral sense, but they are community political issues. I should also mention that for at least 30 years we have been talking about diversification to animal husbandry, fishery, etc. Yet, it is a very slow process. Now, some states, fortunately, that did switch their strategy to emphasise more on horticulture or fisheries grew very fast. Propagating these positive cases will hopefully induce other states to follow. But again, agriculture is a state subject, except for interstate trade. And, really, that is one of the issues. I think the Centre must keep nudging states to reform.

Q: What are the things that you believe states should be tackling?

A: One of the areas to look at is electricity. There's a cross-subsidy in terms of electricity pricing. All distribution is in states' control. They tax electric supply to industry and use that to subsidise consumers. All an economist like me can do is to make the point that instead of giving the direct subsidy, reduce the tax, price electricity according to the cost of production rather than levying a much higher rate for industry. You will get more jobs, you will get more economic activity, which will benefit the population, and that will raise demand and consumption. This is an area where I'm thinking of conducting a study to demonstrate the effects higher prices have. It's an indirect effect. On the other hand, people can directly see their cost of electricity through the subsidy. Again, it is very difficult convincing the public that they'll be better off five years from now.

“If we want to become an upper middle-income country in 10 years, and higher-income country in 25 years, we must improve the quality of learning and teaching in schools”

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The connectivity to transport infrastructure depends on states. All the finances come from the state, so really the state must decide that this is an important issue. **There's one more thing linked to my point on skilling. We have so many schemes, but this must be implemented at the local level. There are national and state training institutions. What we need is a proper tripartite effort, the government as a coordinator and information provider at the local level, not at the state or national level.**

I should mention that at the NITI Aayog we are building an index that will help guide the states. The index will cover all the issues highlighted here, but indices by their very nature are mechanical. It still gives a measure that we hope will nudge states to address these issues. **BT**

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